CASCADIA ANALYTICS

Vistra Corp.

Equity Research Note | VST | 22 OCTOBER 2026

Contracted AI Power

Vistra Corp screens as a Hold, Valuation Concerns with a $119.83 blended target, 15% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$140.83	$119.83	-15%	HOLD, VALUATION CONCERNS

Investment Thesis

Contracted AI Power. Vistra is the purest play on data center electricity demand: 1,200 MW AWS PPA (Comanche Peak), 2,609 MW Meta PPAs (PJM nuclear), and the Helix JV with KKR and NVIDIA. Customers are contracting before regulations are settled [8-K Q2 2026]. Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative [8-K Q2 2026]. Valuation Reset. At $140.83 [Mkt 16-Oct-26], the stock is 27%

- Contracted AI Power
- Execution Validated
- Valuation Reset

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The latest print

Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative.

Valuation Reset. At $140.83, the stock is 27% below its $219.82 high despite no business deterioration. Our $117.32 DCF base implies -17% upside with a Hold rating; PEG of 0.43 suggests the market overcorrected.

$1.767B	$1.80	$6.8-7.6B	$3.9-4.7B	97%+	$17.7B
ADJ. EBITDA (Q2 2026)	EPS (Q2 2026)	2026 ADJ. EBITDA GUIDE	2026 ADJ. FCF GUIDE	FLEET AVAILABILITY	REVENUE (FY25)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Adj. EBITDA (Q2 2026)	$1.767B	+31.0%	Up
EPS (Q2 2026)	$1.80	+17% beat	Up
2026 Adj. EBITDA Guide	$6.8-7.6B	At/above midpoint	Up
2026 Adj. FCF Guide	$3.9-4.7B	~9% FCF yield	Up
Fleet Availability	97%+	Record heat perf.	Up
Revenue (FY25)	$17.7B	+3.0%	Up
Net Income (FY25)	$944M	-64.5%	Down

The moat

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet)

The growth engine

Helix Digital Infrastructure JV with KKR, NVIDIA; up to $1B commitment

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	$19.92B	16.0%	**$62.59**	-56%
Base	50%	8.0%	$24.08B	20.0%	**$117.32**	-17%
Bull	25%	12.0%	$27.85B	24.0%	**$182.07**	+29%

Bear: downside case at $62.59 (-56%).

Base: central case at $117.32 (-17%).

Bull: upside case at $182.07 (+29%).

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The probability-blended target implies 15% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -15% from the $140.83 reference price.

$119.83
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$17.70B**
Valuation horizon	**2026-2030**
Live WACC	**8.45%**
WACC path (Year 1 to final year)	**8.45% to 6.69%**
Terminal growth	**2.5%**
Net debt	**$19.16B**
2030 FCF (Base)	**$2.98B**
10-year Treasury yield	**5.0%**
Beta	**1.39**
Equity risk premium	**3.6%**

HOLD, VALUATION CONCERNS | $119.83 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.5%, between Bear (3%) and Base (8%) - cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$47.8B	$84.43	+20%	$112.2B	$274.29
+1%	$50.0B	$91.03			
+2%	$52.4B	$97.89			
+3%	$54.8B	$105.01			
+4%	$57.3B	$112.40			
+5%	$59.9B	$120.07			
+6%	$62.6B	$128.03			
+7%	$65.4B	$136.28			
+8%	**$68.3B**	**$144.83**			
+9%	$71.3B	$153.69			
+10%	$74.4B	$162.88			
+11%	$77.6B	$172.39			
+12%	$81.0B	$182.24			
+13%	$84.4B	$192.43			
+14%	$88.0B	$202.99			
+15%	$91.7B	$213.90			
+16%	$95.6B	$225.19			
+17%	$99.5B	$236.87			
+18%	$103.6B	$248.93			
+19%	$107.8B	$261.41			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$40.39B	—	2.5%	-$19.16B	$21.23B	**$62.59**
Base	$58.96B	—	2.5%	-$19.16B	$39.80B	**$117.32**
Bull	$80.92B	—	2.5%	-$19.16B	$61.76B	**$182.07**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 85.8% of Base enterprise value (Bear 83.8%, Bull 87.1%). The terminal WACC is 6.69% in Base (Bear 6.69%, Bull 6.69%), on a terminal beta of 0.70 (Bear 0.70, Bull 0.70).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$62.59	$67.88	$70.17	$70.92	$71.35	$71.41
Base	$117.32	$127.23	$134.11	$139.58	$144.44	$148.46
Bull	$182.07	$197.45	$209.84	$220.98	$231.20	$240.08

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $119.83 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet)

Helix Digital Infrastructure JV with KKR, NVIDIA; up to $1B commitment

4-6% annual ERCOT load growth guided through 2030 on data centers

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$11.9B	$13.7B	$14.7B	$17.2B	$17.7B
Adj. EBITDA	$3.1B	$3.3B	$4.0B	$5.8B	$6.4B
Net Margin	-12.1%	-18.4%	9.8%	15.4%	5.3%

Valuation cross-check

NTM P/E 14.7x

DCF Base $117.32 vs $140.83 spot

PEG 0.43

DCF implies -17% upside with a Hold rating. PEG of 0.43 is deeply cheap for the growth profile.

CEG and IPP peers at higher multiples

Trades at a discount to nuclear peers despite comparable contracted cash flows.

Trading 27% below 52-week high

Valuation reset on sentiment; multiples are below historical averages.

What to monitor

Nov 2026. Q3 2026 Earnings: data center PPA announcements are the watch item.

2027. Comanche Peak late-2027 project timeline; Texas data center audits could pause reviews.

2027-2028. Helix Digital Infrastructure JV deployment with KKR/NVIDIA.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$12.1B	—	$-1.5B	—
2022	$13.7B	$1.7B	$-1.1B	$1.0B
2023	$14.8B	$5.5B	$2.7B	$4.6B
2024	$17.2B	$7.5B	$4.1B	$7.0B
2025	$17.7B	$5.8B	$2.1B	$5.1B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$29.7B	$21.4B	$8.3B	$1.3B
2022	$32.8B	$27.9B	$4.9B	$455M
2023	$33.0B	$27.6B	$5.3B	$3.5B
2024	$37.8B	$32.2B	$5.6B	$1.2B
2025	$41.5B	$36.4B	$5.1B	$785M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$-206M	$1.0B	$2.3B	$827M
2022	$485M	$-1.3B	$-80M	$-816M
2023	$5.5B	$-1.7B	$-294M	$3.8B
2024	$4.6B	$-2.1B	$-1.6B	$2.5B
2025	$4.1B	$-2.8B	$-74M	$1.3B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $119.83 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.77% of shares outstanding. Form 4 filings over the trailing six months show $1.17M of open-market purchases against $25.88M of sales, a net flow of -$24.71M. One-year total shareholder return is -18.4% against CEO total pay of $4.56M (Mr. James A. Burke CPA), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.77% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $1.17M (2) vs sales $25.88M (10), net -$24.71M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -18.4%; Mr. James A. Burke CPA, President, CEO & Director, total pay $4.56M
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Vistra Corp. valuation framework

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-07	Moldovan Kristopher E.	Officer	SELL	20,000	$3.30M
2026-10-06	Hudson Scott A	Officer	SELL	22,222	$3.56M
2026-09-08	Moldovan Kristopher E.	Chief Financial Officer	SELL	20,000	$3.02M
2026-09-08	Hudson Scott A	Officer	SELL	44,444	$6.75M
2026-09-01	Burke James A.	Chief Executive Officer	BUY	6,665	$903.1K
2026-08-24	Burke James A.	Chief Executive Officer	BUY	2,000	$270.0K
2026-06-18	Sult John R	Director	SELL	6,500	$1.10M
2026-06-18	Acosta Arcilia C	Director	SELL	15,000	$2.51M

SEC proxy audit, DEF 14A filed 2026-03-18

Alignment grade A. NO PAY CUT. James A. Burke, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Vistra's executive compensation remained largely unchanged in 2025, with no significant pay cuts or bonuses awarded. The compensation committee maintained a pay-for-performance philosophy, tying variable pay to long-term shareholder value. The committee's oversight appears aligned with TSR objectives, as compensation was approved by a strong majority of shareholders.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1692819/000162828026019029/vistra-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Leverage

Debt/equity of 3.93x and current ratio of 0.78x leave little room for error in a downturn.

Merchant Exposure

ERCOT pricing was soft in Q2; merchant exposure means earnings volatility on power prices.

Nuclear Operations

Nuclear operations carry regulatory and operational tail risk; any extended outage is material.

The strengths

Operating Quality

Contracted nuclear PPAs with Meta and AWS provide multi-decade visibility. But 3.93x debt/equity and merchant exposure to ERCOT pricing keep quality in check. The hybrid model is the right strategy.

Recent Trend

Q2 EBITDA +31% YoY, EPS beat, guidance at/above midpoint, 97% fleet availability in record heat. Operational execution is excellent.

Forward Growth

Data center load growth (4-6% ERCOT), Helix JV with NVIDIA/KKR, nuclear uprates. The electricity demand thesis is structural, not cyclical.

Valuation

At $140.83 vs $117.32 DCF base, -17% upside with a Hold rating. PEG 0.43 is deeply cheap. Stock -27% from highs on sentiment, not fundamentals. Classic reset opportunity.

Cascadia scorecard

Composite score 75: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Contracted nuclear PPAs with Meta and AWS provide multi-decade visibility. But 3.93x debt/equity and merchant exposure to ERCOT pricing keep quality in check. The hybrid model is the right strategy.	75
Recent Trend	Q2 EBITDA +31% YoY, EPS beat, guidance at/above midpoint, 97% fleet availability in record heat. Operational execution is excellent.	80
Forward Growth	Data center load growth (4-6% ERCOT), Helix JV with NVIDIA/KKR, nuclear uprates. The electricity demand thesis is structural, not cyclical.	75
Valuation	At $140.83 vs $117.32 DCF base, -17% upside with a Hold rating. PEG 0.43 is deeply cheap. Stock -27% from highs on sentiment, not fundamentals. Classic reset opportunity.	72
Catalysts & Risk	Q3 earnings, new PPA announcements, and continued buybacks ($6.5B since 2021, -30% share count) are positives. Leverage and ERCOT price softness are risks. Positive skew.	75

Investment view

New large-scale PPA announcements would lift Growth and Catalysts. ERCOT price weakness or leverage concerns would cut Valuation.

Investment view: Hold, Valuation Concerns. The $119.83 blended target implies -15%, balancing the $62.59 / $117.32 / $182.07 Bear / Base / Bull outcomes.

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